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We have also implemented a comprehensive framework for ESG debt securities, including green, social, and sustainability-linked bonds. The objective is to provide credible and well-defined channels through which capital can be directed towards sustainable outcomes.

Regulation of ESG service providers is another area of work. A growing set of investors relies on ESG ratings as an input into their investment decisions. We regulate ESG rating providers, so the ratings investors rely on are credible and conflict-free.

Q: What has the feedback been since the introduction of BRSR?

A: Overall, the feedback has been positive and encouraging. Structured, quantitative disclosures significantly improve usability. With the analytical tools available today, investors can process and analyse sustainability data more efficiently and ask companies the right questions.

I would like to attribute the main reason for BRSR's success to the solid foundational work done by Sebi before its launch in 2021. BRSR was introduced after extensive, proactive and deep consultation with corporates, investors, and other stakeholders. From the outset, the intent was to design a disclosure regime that is calibrated to the needs of Indian markets.

Q: What can we expect from the regulator going ahead?

“Consolidated sustainability disclosures are important, so as to align the reporting boundaries for financial and non-financial reporting and enable investors to get a complete picture of enterprise value”

A: We have received feedback from our ESG Advisory Committee that the availability of consolidated instead of standalone data, and sector-specific disclosures would further enhance decision-usefulness. Implementation of a common taxonomy would further enhance comparability, an area where work is ongoing.

Our approach has been first to let this culture of making sustainability disclosure set in. Corporates should feel comfortable. We have to proceed in a calibrated, gradual manner that should not unduly enhance the cost of compliance.

Consolidated sustainability disclosures are important, so as to align the reporting boundaries for financial and non-financial reporting and enable investors to get a complete picture of long-term enterprise value. At the same time, we must recognise that issues of data